Unit 2

Demand & Supply :-

Demand analysis - Demand is important concept in macro economics the demands for any comodity is the relationship between the prize & the ~~quati~~ quantity that will be purchase of that price. In other words, the demand for a goods is a scheduale of the amount that ~~demand for a~~ they would be billing to purchase at possible prize according to a specific time. The demand for any ~~time~~ thing at a given prize is the amount of it which will be bought per unit of time at that price.

⇒ According to above definition demand have some important essential.

(1) To have an effective desire & ability to full fill the desire & willingness to use those resources for fullfillment of then desire. That means we need money to purchase the product.

(2) Demand for a particular commodity is related with a particular price.

(3) Demand for a particular commodity is related with a particular time.

Examples:-

(1) Demand for comodity 'A' is 1000 units.

(2) Demand for comodity 'B' at 5 rs ~~per~~ per unit. is 1000 units.

(3) Demand for comodity 'C' at 5 rs per unit in Jaipur is 1000 unit/week.

* Characterstics :-

- Demand is an effective desire.
- Demand is related with prize.
- Demand is related with time.

* Importance :-

- Importance in comseption
- Importance in exchange
- Importance in distribution.
- Importance in Finance.
- Advantage to procedure
- Importantance in religion & culture or politics.

* Types of demand :-

- Income demand :- It is related with income. Its how the relationship between the quantity demand of a commodity & the income of consumer.

Income demand implies the quantity of commodity purchased by the consumer at various level of income. otherwise that is taste, fashion. don't, change.

- Price demand:- It implies the different quantity of a commodity demanded by consumer at various price for a particullar period of time that means income, taste, fashion is unchanged.

- Cross demand:- It is related to sub-situtional product this is related with subsituation & complementary goods.

Determinants of demand:-

(Factor in ~~Elastin~~ Hunting demand)

(1) Number of consumer.
(2) Income level
(3) Distribution of wealth
(4) Government control.
(5) Consumer taste, fashion, preference etc.
(6) Business condition.
(7) Improvement in the quality.
(8) Changes in population.
(9) Changes in money supply.
(10) Subsituation available in the market.

* Demand Forcasting :-

Demand Forcasting is related with the concept of demand. Demand forcasting refers to the ~~producti~~ prediction of ~~dem~~ estimated demand for the quantity to be produced for the market. In other words we can say that it is an estimation of future demand. According to Kotler, demand forcasting as a market demand for a production is the total volume that would be what, why or define customer ~~group~~ growth in a defined geographical area, in a defined time period. Business is always depends on forcasting. And it is the important method production & manufacturing as well.

Objectives of demand Forcasting :-

(Objective of DF)

Short term objective

- Better financial planning
- Determining pricing strategy.
- Better financial managemt.
- Formulation of sels strategy.
- Proper production schedual.

long term objective

Improving Product life cycle.

- long term financial planning.
- Project expension
- Development of forward linkage to backward linkage.
- Adoptation of new strategy or technology.
- Devlp. & creation of new (market)

Product life cycle.

M → maturity part
(peak level)

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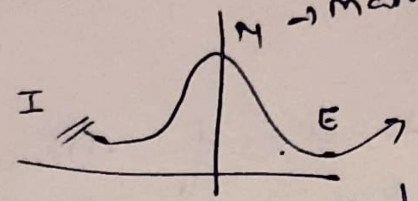

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Product market
में ~~कितना टिकेगा~~

Introduction part.

end part

* Steps involve in demand forecasting :-

Step 1. Identification of production

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Step 2. Determining objectives of demand forcasting.

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Step 3. Determining scope of demand forcasting.

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Step 4 Identifying the risk involve in demand forcasting.

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Step 5 Collection & analysis of data.

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Step 6 methodology is to be used in DF.

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Step 7 Interpritation Conclusion & decision.

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Step 8 Reviewing the decision.

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Step 9 Result & feedback.

Assignment

Q1 Explain characterstics of Demand forcasting.

Q2 What is demand function.

~~Q3 Explain elasticity of demand.~~

Q4

* Methods of Demand Forcasting :-

There are 6 methods of demand forcasting.

(1) Survey method :-

(a) Survey of buyer's intention.

(b) Survey of sells - force.

(c) Survey of expert opinion.

(d) Survey of opinion poll - survey.

c

(2) Study & experiments :-

(a) Test marketing

(b) Experiments

(3) End - user methods :-

(a) Listing of all present & future, possible use of product.

(b) Designing and technical norms of product.

(c) Stages related to the Application of product.

(d) Stage related with product - wise & user - wise and use wise.

(4) Statical method & analysis :-

(a) brand projection method. (Graphical method)
(b) Regration method.
(c)

(5) Baro-matric method of Forcasting :-

(a) Leading indicator - new orders, corporate profit & value of inventory.

(b) Coincidential indicators - level of economic activity, rate of unemployement constant-price & sells record by menufacturing

(c) Lagging indicators - ~~lone~~ loan outstanding & sels return.

(6) Economatric method :-

Related with data ; regration equations and variables.

* Problems in demand forcasting :-

(1) Government rules & regulation
(2) Government control.
(3) Incapability of management decision
(4) Insufficient funds.
(5) Poor technology.
(6) Lack of demand of product

* Good characterstics of demand forecasting -

(1) Accuracy

(2) Better financial planning

(3) Simplicity.

(4) Good mangerial decision

(5) Flexibility

(6) Economy-vise good.

* Supply

Supply is a flow related with per day, per month or per year.

Supply is the amount offered for sale per unit of time.

There is two parties in supply,

(i) Saler (ii) Producer.

Supply is the total quantity offer commodity which a saler would be willing to produce i.e. sale at a give price during a specific time. It is also related with the different type of situation

Factor Affecting supply -

(1) Price of the commodity

(2) Price of factor of production.

(3) Price of related commodity.

(4) State of technology.

(5) Government policy.
(6) Operational law of returns.
(7) Time period.

Assignment Question

Q3 Explain characteristic of demand along with demand function & elasticity of demand.

Q4 Explain determinants of supply along with supply function & elasticity of supply